SUBSCRIPTION BUSINESS MODEL



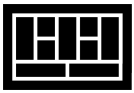
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SUPER GUIDE:

SUBSCRIPTION BUSINESS MODEL

BY DANIEL PEREIRA



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INTRODUCTION

The subscription business model is one of the best business models in use today.

It yields predictable revenue, generates positive word of mouth, brings active communities online, promotes long-term customer relationships, and makes people love your brand.

A combination of the commodity service model and the free service model is what it is.

Most of the time, subscribers pay next to nothing every month rather than the full price upfront, full prices that most times run into hundreds or thousands of dollars.

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WHAT IS SUBSCRIPTION BUSINESS MODEL?

A subscription business model is a model that focuses on getting customers to sign up for regular payment options for access to the product or service the business provides. Users are charged either weekly, monthly or yearly for the services provided. A clear example is the Netflix business model. Netflix charges its customers monthly or yearly for access to its catalog of movies and games.

The subscription business model guarantees a business of recurring revenue while granting customers the convenience of automatic regular payments and the use of the services and products at a lower cost. Another example is Adobe products, their upfront payments will usually set you back a few hundreds of dollars, but with a subscription service in use, users get to use their software at a low monthly price while Adobe is guaranteed a regular revenue stream.

The subscription model is even more attractive when you consider the fact that its short-term high costs of investment in user acquisition tend to yield a steady and long-term inflow of revenue for the businesses using it. However, the stickiness of users is heavily dependent on the quality and variety of services or products provided.

In the subscription meal kit, Blue Apron's high churn rate — the rate of customers canceling their subscriptions — shows that subscription businesses with poor product quality or customer dissatisfaction with the assortment, or lack of

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perceived product value will eventually lead to a failure of the subscription business model. Having gained much traction in 2020 because of COVID-19, the ability of their subscribers to go out and eat at restaurants after the removal of lockdowns also affected their business.

"CONSUMERS ARE QUICK TO CANCEL SERVICES THAT DON'T DELIVER A SUPERIOR EXPERIENCE — FOR EXAMPLE, BECAUSE OF POOR PRODUCT QUALITY, DISSATISFACTION WITH THE ASSORTMENT OR A LACK OF PERCEIVED VALUE." — MCKINSEY

The model is an indication of a change in market trends, where customers prefer access to ownership. Video streaming services, car, airline, and gaming subscriptions are clear indications of this change.

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HISTORY OF THE SUBSCRIPTION BUSINESS MODEL

The history of the subscription model goes far back to the 17th century when King Charles I of England proposed a patent subscription fire insurance scheme. The scheme was to work in the way fire insurance works these days, however, it never gained traction because it was widely misunderstood.

Thirty years later, private fire insurance agencies began springing up under the subscription model, and some afterward the model was being adopted by other businesses, like trading companies, theaters, and charities. Eventually, the wave caught up to publishers in the 18th century and resulted in the adoption of the model by publishers.

BOOKSELLERS AND BOOK CLUBS

After the adoption of the subscription business model by insurers and trading companies, niche book clubs soon followed. Booksellers would advertise for ‘subscribers’ to their proposed publications, sometimes even advertising in books themselves.

By entering into an agreement with the subscribers, they would produce books with specified content, sizes, bindings, copies, etc. Customers often resubscribed to more than one publication from the same company, creating long-term

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relationships.

Most times, depending on how much they paid, subscribers would get to have their name on the title page of books, some took advantage of this to make their businesses seem better than their competitors. A 17th-century grocer in competition with their neighbors would subscribe to a dictionary publication, and by having their name on the title page, they would get bragging rights.

THEATER SUBSCRIPTIONS

In 1671, actor and theater manager Thomas Betterton built a new playhouse in Dorset called the New Theater. Betterton raised the funds for the theater through subscriptions, a system by which people bought shares in the idea but received lifetime free admission to the shows.

Using subscriptions, Betterton built two more playhouses. The one he built in Hay-Market was with a subscriber base of "thirty people of quality", who each paid 100 pounds and were given lifetime free admission!

Payment convenience has evolved over time. In the past, patrons made one-time payments for the year. The trend now is for subscribers to make small recurring payments, often monthly, rather than paying annually. This reflects how much easier it is today to collect and manage frequent recurring payments.

CHARITIES AND THE SUBSCRIPTION MODEL

Charities operating on the subscription model like GiveIndia

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of today are following in the footsteps of the gentry and nobility, who in the early 18th century started to rely on a subscription donation model. While charities that ran on goodwill were common, some made the subscription experience more attractive by offering donors something in return. A few companies combined business with charity; the Norwich New Stage-Coaches company raised money from more than 200 subscribers and donated surplus to 'the relief of the poor', as Clapp explains in her paper.

LIVE OPERA SUBSCRIPTIONS IN THE 19TH CENTURY

It was in the 19th century that things started to take off: In 1881, live-streaming started to catch on in Europe and America; the very first international exposition of electricity held in Paris' Champs-Elysees featured the theatrophone, a device that seemed to take the attractions of Alexander Graham Bell's telephone to a whole new level.

The theatrophone was a clever invention that allowed people to sit in their hotels and listen to performances at the Paris opera. These theatrophones were made with two headphones, which you could use for 50 centimes to listen live for five minutes.

When these theatrophones first made their debut in hotels, their popularity with Parisians, especially the high society, led to 100+ of them being made available in various public spaces and hotels around the city.

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Fig. 4.—GENERAL VIEW OF A THEATROPHONE.

The Scientific American Supplement of July 2, 1892, reported: "But aside from the theatrophone service, the company also has a certain number of subscribers: private individuals who pay a fixed amount in order to listen to theater performances at home. They are necessarily subscribers for the telephone as well."

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THE PRESENT OF SUBSCRIPTION BUSINESS MODEL

The idea of operating the subscription business model has tickled the fancy of a lot of companies in the 21st century. Businesses like car manufacturing, video rentals, and sales, food and ingredients purchase have been affected, albeit positively. For businesses unwilling to adopt new business models, the effects can prove to be negative.

CAR OWNERSHIP VS SUBSCRIPTION

Car subscription has been adopted mostly by car manufacturers as a way to generate revenue with unsold cars, however, more businesses are springing up with the sole aim of offering car subscription services.

The transition to subscription car services is creating great opportunities for companies that can manage the sales and supply of the vehicles. A record-high average price for new cars in the United States is only one example of a great reason consumers are switching to subscription car services: high prices.

The trend toward urbanization is also making a difference in the automotive industry, as more young people with no interest in driving prefer to live in cities where they are less dependent on owning cars. If needed, they can rent cars or

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subscribe to one without the hassle of owning one.

Under car subscriptions, drivers can get a car for use for a particular duration, with options of a later change in the model, and, since these subscribers do not own these cars, they are free from car maintenance expenses, insurance, and payment for roadside assistance since all these are bundled into the somewhat low monthly payment and managed by the company.

VIDEO RENTALS, SALES VS VIDEO SUBSCRIPTION

The inception of video subscription services led to the demise of movie rental services like Blockbuster. This demise, albeit avoidable for Blockbuster, was championed by the convenience and low cost offered by the likes of Netflix, Hulu, and HBO: Pay a low monthly fee and get a huge selection of movies in our catalog.

Users no longer had to pay one-off prices for movie rentals, instead, they could initiate the payment process once and pass on the hassle of monthly payments to the subscription company.

Video subscriptions, although unintentionally, also allowed subscribers to watch unpopular movies that they otherwise would have cared less about. As a consequence, indie movies producers can now make movies with the sole aim of targeting the curious side of video platform subscribers.

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SUBSCRIPTION MEAL KIT SERVICES

With more people preferring the convenience of having food and ingredients delivered to them, in-store purchase of ingredients is in decline. Consequently, several companies offer subscription packages that allow users to choose from a variety of ingredients and recipes, which are delivered to their homes on a weekly or monthly basis.

Although Blue Apron's subscription revenue has been affected by the uncertainties of this aspect of the subscription model, subscription meal kit services are still worthy of investment, however, revenue streams should be diverse, or have a strong foundation that will not be largely affected by still changes in market trends.

Other industries presently experiencing changes as a result of the adoption of the subscription business model include the airline industry, gaming, health and wellness, in-home fitness, home maintenance, and education & professional development.

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THE FUTURE OF SUBSCRIPTION BUSINESS MODEL

Subscriptions are a business model that has existed since the 17th century. Over the years, the model has gained popularity and has been co-opted by many successful companies, like Netflix, Microsoft, Salesforce, Adobe, and many others.

In just the last few years and as a result of the pandemic, the subscription business model has received more than a 100% increase in its revenue. This is because it was formerly only used by technology companies, but now it is associated with every other company and is growing even more quickly.

In the last few years, we've seen a rise in companies providing access to goods without ownership, including car rentals like Revv, furniture rentals like Rentomojo, and office rental workspace companies like WeWork. Millennials prefer to rent these objects without having to deal with the hassle of ownership, including maintenance and disposal.

If you move cities, you simply send back your rented furniture to the company, pack your bags, and leave! It's no surprise that these companies build their revenue model around recurring billing.

In the coming years, more businesses are expected to make a shift towards the subscription business model because of

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its guarantee of stable revenue, user convenience, and rising investor interest. Nearly all investors recognize that it is important to build business capabilities, even at the expense of delivering short-term earnings (EPS). This is because experienced investors see the long-term value in subscription businesses, which are built on lasting relationships.

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THE RISE OF THE SUBSCRIPTION ECONOMY

Businesses have been using the subscription business model for a long time now, and over those years, it has changed drastically to fit in with the evolution of technology. Businesses have found ways, through digital technologies, to make subscribing much easier than it was a decade or two ago.

Digital technologies like payment platforms (Paypal, Wepay, Stripe) and analytics services (ProfitWell, Zuora, Recurly) have handed businesses the infrastructures required for efficient application of the subscription model.

Past issues like how to efficiently collect recurring payments have been dealt with, and alongside that, analytics services like Zuora that help businesses understand consumer behavior have assisted them in designing subscription systems that we had today.

This has led to a steady increase in the number of companies operating the subscription business model. As these new companies appear in a variety of industries, their competitive dynamics are being radically altered.

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THE 2 DIFFERENT TYPES OF SUBSCRIPTION BUSINESS MODELS

Subscription companies have two types of modus operandi; while some offer access to a product, others offer a repeat service:

1. ACCESS: PREMIUM CONTENT FOR DEDICATED SUBSCRIBERS

Businesses of this type offer digital services that are most times exclusive to the subscription platform.

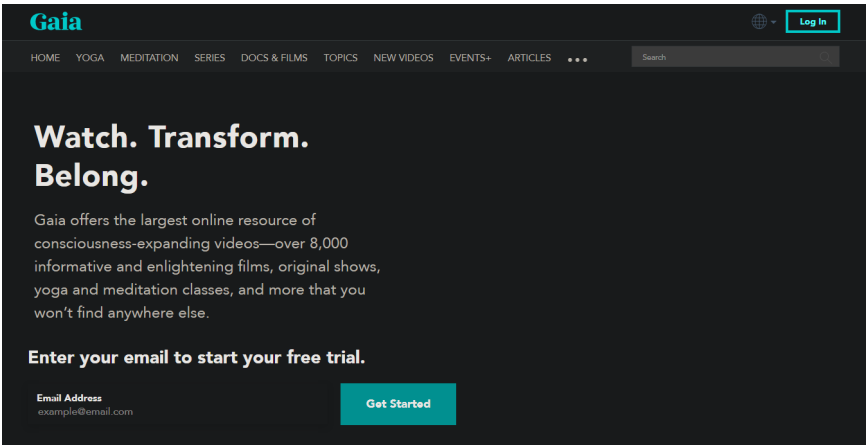
Subscription Video On Demand (SVOD)
If a customer loves your content, it's most likely that they want to see it as often as possible. This is where a subscription business can step in. For example, if you have a streaming service where customers can access premium content, they may be more willing to make the purchase than if they had to pay each time they wanted to watch your videos.

Netflix, Amazon Prime, and Hulu all utilize this model, however, you don't have to be a big company to begin offering Video-On-Demand subscriptions services.

Consider Gaia, a platform dedicated to offering information

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on life's "deeper questions", as the single largest portal for resources devoted to “evolving consciousness”. Gaia offers subscribers access to video content on yoga sequences, meditations, documentaries, and films on alternative realities, crop circles, and spiritual alchemy.



With its subscription revenue, Gaia can reinvest its revenue to increase its catalog of videos, scale its business, and improve user experience, thereby reducing its churn rate.

The service was built for customers who would like to improve their personal development psychologically, physically, and mentally. And because their business is different from most other popular video subscription services, they can cultivate community loyalty, through which word of mouth will become a marketing strategy and a way of reducing churn rate. In essence, subscribers get their money’s worth and in return bring in more subscribers.

Also, consider Cakeflix, a platform with a large collection of videos aimed at helping subscribers become more skilled in cake baking and decoration, and in turn, improve their business.

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Subscribers also have access to the business tutorials on their website, and by offering free tutorials on YouTube and Instagram, the platform tries to minimize user acquisition costs.



Although YouTube originally wasn't just their source of user acquisition, they found out that monetizing their videos on the platform wasn't a sustainable business model as this had negative effects like unstable revenue inflow and high user acquisition costs for an uncertain and unpredictable revenue increase.

Creating their own platform meant they could have more control over their revenue in terms of stability and predictability, and since they already had some viewers on other platforms, user acquisition costs wouldn't be too expensive.

Their subscription-based cake school was dedicated to their supporters who want to:

- Enhance their baking and decorating skills;

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- Discover new techniques;
- Start or become successful in their own cake business;
- Meet other bakers with similar interests.

Because of the perceived value of Cakeflix by its subscribers, the platform through its subscription revenue can be sure of a consistent revenue stream, reinvest its revenue in creating new content, and provide its service at a reduced price.

Written Content
New publications like The Economist, The New York Times, The Financial Times, have adopted the subscription business model as a way of combating the loss of revenue as a result of the shift from paper newspapers to digital ones.

The New York Times as an example found that trying to replace the traditional newspaper adverts with online ad revenues wasn't a sustainable revenue model and, as a consequence, they found it difficult to invest in quality journalism.

However, their shift to the use of subscriptions as a revenue generation model proved successful; users were willing to pay a small but regular fee to have access to quality journalism. This although a bit different can be likened to the subscription models that were adopted by newspaper publishers back in the 18th century.

As a result of their shift toward the subscription model, they have increased their reader base, retained more viewers, increased their revenue, improved user experience, and developed more products, e.g. the NYT Crossword app.

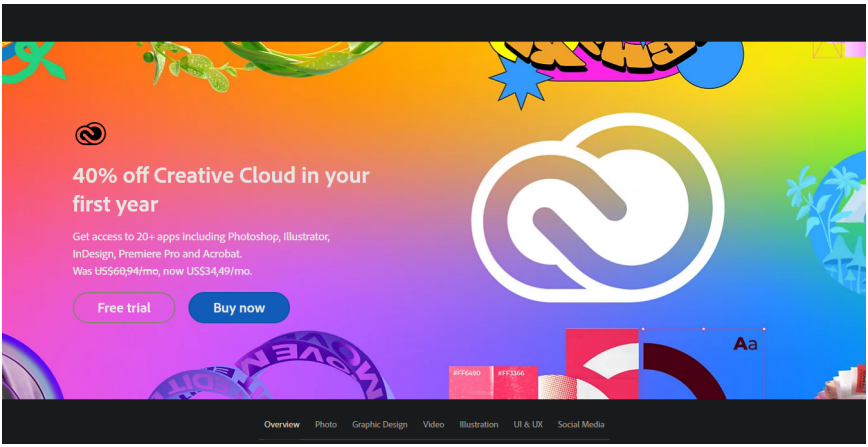
Many publications have adopted a freemium-subscription model, where they offer a few articles for free in order to lure more customers.

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Software As A Service (SaaS)
SaaS companies offer people software applications and services, saving them time by automating or streamlining tasks. Subscription business models allow SaaS companies to:

- Lower the upfront price;
- Maintain a steady revenue;
- Expand their business;
- Provide a low-commitment product. In essence, users can cancel their subscriptions when they are done with the service.

A good example of a SaaS company is Adobe. They offer their products at a discounted monthly fee that most users can afford, whereas requiring users to pay the full price upfront will drive away potential customers who would be comfortable with the monthly or yearly subscription packages.

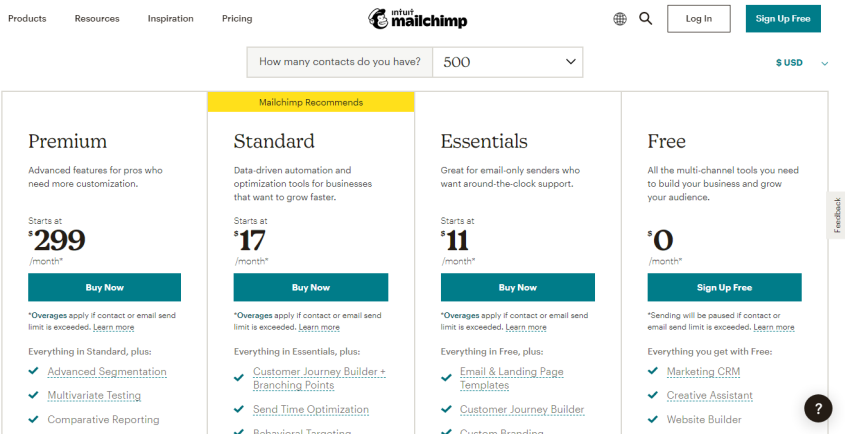


Since an upfront price of an Adobe product can cost upwards of $600, their subscription packages that encourage more

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users to use their products are even more lucrative than a pay-per-product business model.

Another SaaS company utilizing the subscription business model is MailChimp. It's an email marketing tool that helps people promote their brands and sell online. Through its variety of subscription packages, MailChimp can target different businesses with high or low budgets and varied needs.



Just like Adobe, their subscription business model allows them to maintain a steady revenue, lower the upfront fee, improve their services and products, expand their business, and offer a low-commitment product. However, it also let them scale their business alongside their subscribers since the prices of their packages depend on the number of their subscribers' teams.

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2. REPEAT SERVICES: A NEW (OR RESTOCKED) PRODUCT EVERY MONTH

This type fits in well with businesses that deliver physical goods, and great examples are monthly subscription boxes like meal kits, monthly tea or coffee box deliveries, or parcels of accessories and clothing.

Subscribers to businesses that offer repeat services do so because of the perceived value of the service. Values that may include cost, convenience, and the randomness of the items provided.

Research shows that subscription box businesses can have a 40% to 60% profit margin and retain 80% of their customers because customers value personalized service and the ease of restocking or buying new products, factors that make subscription-box businesses successful.

Since these businesses have a perceived value, they can sell more products by developing a sustainable pricing model. They can also rely on a loyal customer base and earn recurring revenue, and have the ability to forecast the inventory they'll sell because they already have an estimate of the quantity their clients are subscribed to.

A good example of this is HelloFresh. They offer flexible meal plans for their customers regardless of their diet, how many people would be eating, and the amount of time they have. They charge subscribers based on the number of servings they want and the frequency of the deliveries.

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By offering consumers pre-measured ingredients and cooking recipes, HelloFresh made picking a meal, purchasing ingredients, learning new cooking techniques, cooking, and portioning food easier for their subscribers.

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HOW A SUBSCRIPTION MODEL WORKS

In a subscription model, subscribers are charged either weekly, monthly, or yearly for access to a service or product. Users also have the freedom to cancel or renew their subscriptions at the end of their billing period, however, most times, subscribers don't need to manually renew their subscription, since this is automatically handled by the company to which they are subscribed.

Subscription-based companies depend on their perceived value on the part of their customers to survive, this perceived value may come in terms of the convenience they offer their subscribers, the low cost of their subscription as opposed to an upfront payment or other competitors, and added perks that only subscribers may get. Through subscriptions, businesses are guaranteed a steady revenue inflow because subscribers pay on a regular basis, and, as a result, they have better revenue predictability.

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HOW DO SUBSCRIPTION MODELS MAKE MONEY?

Subscription models make money by charging users a pre-defined sum on a regular basis, and since subscriptions work like contracts, users are charged based on how often they have selected during registration.

However, subscription charges on repeat services depend on several factors, like how many products will be delivered, how often deliveries will be repeated, location, preferences, etc.

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WHY IS THE SUBSCRIPTION BUSINESS MODEL SUSTAINABLE?

In linear-revenue businesses, customers buy something once and then, they are not involved again. But in business-to-business subscriptions, there is a constant cycle of buying and selling through recurrent billing and use of the services, and they all remain connected to each other.

Subscription services provide businesses with steady, recurring revenue streams. Over time, they can enhance the products and services that they offer to meet the changing needs of their customers.

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WHAT IS THE DIFFERENCE BETWEEN SUBSCRIPTION BUSINESS MODELS AND PAID LOYALTY PROGRAMS?

Although they are both similar, subscription business models and paid loyalty programs have a key difference:

In a subscription model, customers are billed on a recurring basis for a specific product or service offering. With a paid loyalty program, users pay recurrently to enjoy special perks like free shipping and/or early access to sales or new products.

Loyalty memberships provide customers with additional incentives to shop. Since loyalty memberships encourage customers to return to the store, they complement a retailer's existing product lines or services and help the retailer increase sales. Whereas, subscribers pay for the products and services received, through subscriptions.

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FIVE STAGES OF THE SUBSCRIPTION-BASED MODEL

STAGE 1: AD HOC

Wild West: Here the company focuses almost exclusively on new subscriber acquisition, and they measure their success in terms of subscribers added. Other metrics are backward-looking. For example, the company might track how many subscribers it has gained over the past month. Its systems — which tend to be disparate — support only reactive management of the business. Since the company offers a lot of discounts and focuses mainly on promotions, pricing and packaging decisions are haphazard and unfocused.

Result: Customer experience is not streamlined, and since their focus is mainly on user acquisition, they lose a lot of customers, even if low-cost packages and discounts are available. The business also spends more money on user acquisition than the users' lifetime value to the platform. However, since the business cannot go lower than this, its growth will be guaranteed if a high commitment of resources and time is made.

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STAGE 2: OPPORTUNISTIC

Differentiated: The company's efforts are directed at offering new ways for subscribers to sign up for the service. The company is making it easier for customers to sign up, but its systems can't handle any sudden increase in demand. Customer retention plans are none existent, so customers come in and leave soon afterward.

Result: Customer value perception of the business depends solely on how convenient, cost-effective, and useful the business is to them. Since the business is still focused on user acquisition rather than retention, its churn rate is high and as a result, users' lifetime value is roughly close to user acquisition costs.

STAGE 3: REPEATABLE

Loyalty: Here, more attention is now being placed on not just user acquisition, but also user retention. More resources are being put in place to handle user renewal processes, increase in units ordered, and subscription downgrade or cancellation processes. Social platforms are created or invested in to promote user interaction in order to build loyalty and improve customer value.

Result: Customer value perception increases, and can now be measured via social platforms, users' purchase of additional services and products, and subscription renewals. Focus is now placed on pricing and packages, and more users can now find packages that fit them. If user growth continues, acquisition costs may still be higher than retention revenue, since the churn rate hasn't reduced drastically.

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STAGE 4: MANAGED

Time to Value Increase: Focus on user retention increases, and recommendations systems are put in place to increase user engagement and to show the value of the platform. The subscriptions' system is now fully integrated into the company's offerings; users can now mix other models the company operates with subscriptions and still get a streamlined experience. In essence, more resources have been put together to improve user experience.

Result: Implementation of transparent pricing and easy cancellation policies create the kind of stickiness that enables the company to build long-lasting relationships with its customers. Although this may seem illogical, customers must trust the company before they can be made to realize the value of the services offered and, as a result, deepen the relationship. And since the company now has a better understanding of user behaviors, it can now focus on increasing profit and stabilizing revenue.

STAGE 5: OPTIMIZED

Customer Life-Cycle Optimization: The subscription strategy centers on optimizing the customer life cycle. Before people become customers, the provider understands their potential value and uses systems to support smooth customer transitions from leads to cash. The company makes sure that its sales contacts are highly systematized and focused on building relationships.

Customers can reach the company in any way they want, and the company will answer in an equally convenient way. Cloud telephony enables the proactive triage of support requests, enabling customers and representatives to establish actual dialogues instead of merely completing transactions.

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Result: The company has the ability to run pricing experiments and see results by customer segment in real-time. The data they gather on customer usage allows them to predict when they are ready to be moved to the next stage. The salespeople use this data as a guide when deciding how best to offer new subscription plans. It will now become apparent to them that sometimes the "right" plan is the low cost plan. At the same time, their focus on user retention leads to the cost of acquisition being 4 to 5 times less than users' lifetime value.

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PROS OF SUBSCRIPTION BUSINESS MODELS

1. BETTER DEMAND FORECASTING

Because subscription companies know how many subscribers they have, they can accurately forecast how much inventory they need monthly for their subscription boxes or replenishment services. This results in little to no cases of dead stock or high inventory costs.

2. MORE INSIGHT INTO CUSTOMER BEHAVIOR

Customers often return to their favorite online stores and subscription services on a regular basis, allowing businesses to accumulate data across multiple channels — such as reviews and quizzes — that help them better understand their customers and what they want.

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3. ROBUST CROSS-SELLING/UPSELLING OPPORTUNITIES

When customers commit to a subscription, you can offer them additional items to purchase. For example, if you sell pet supplies, you could offer pet owner's guides, pet food, toys, bedding, and so on.

Customers appreciate the opportunity to purchase something new in addition to something familiar. Subscription services give you the unique ability and customer trust to suggest both new and old products to existing customers, thus increasing sales.

4. LOWER CUSTOMER RETENTION COSTS

Customer retention is more profitable for a business than one-time sales. Every time a new customer buys something, you still have to attempt to sell that same customer more goods using email marketing, social outreach, and retargeting ads. But when a customer buys into a subscription plan, you don’t need to worry about attracting that customer again with another sale campaign.

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CONS OF SUBSCRIPTION BUSINESS MODELS

1. HIGH CUSTOMER ACQUISITION COSTS

Signing up for a subscription service is a serious commitment that consumers will think long and hard about before making. This means that acquiring customers can be difficult and expensive, so you need to ensure that your pricing strategy takes this into account.

If you're thinking about launching a subscription service, keep in mind that acquiring customers through free trials, affiliate marketing, and sponsored posts may affect your profitability.

2. HIGH COMPETITION

The subscription market is growing at an accelerated rate, and new entrants can face challenges in establishing familiarity with their target audience. Big companies are already applying the subscription model in many industries. So, in order to stand out, you need to offer your user base something unique to your brand.

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3. OPERATIONAL COMPLEXITY

Managing subscription boxes is complicated. It requires high SKU complexity and a packing process that can take up a lot of time. If you have issues in your supply chains — such as complicated or lengthy shipping routes or high returns rates —, this could negatively impact an entire cycle of subscriptions and require substitutions that don't suit your customer's preferences, leading to a number of unsatisfied customers.

4. SUBSCRIPTION FATIGUE

While every subscription might seem exciting at first, after a while, boredom and fatigue are sure to set in. To avoid high churn rates and create a steady, recurring revenue stream for your business, you need to make sure your customers never lose interest in your offerings.

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POPULAR SUBSCRIPTION BUSINESS MODELS

SAAS

SaaS, or Software as a Service, is one of the most popular business models in the cloud. SaaS is a software delivery model where software is centrally hosted on the cloud and access is paid for via subscription-based licenses.

Using cloud infrastructure has many advantages as it enables self-service, and also you don't have to worry about on-site maintenance and other responsibilities.

Many businesses love SaaS because they can access everything they need without worrying about business continuity. Examples of SaaS companies include Adobe, Slack, Dropbox, Salesforce, and Calendly.

SUBSCRIPTION BOXES

Subscription boxes are a product (or service) that is delivered on a recurring basis, usually with an annual or monthly charge. Subscription boxes can be tailored to almost any interest, from beauty supplies to hobby equipment to meal kits or collectible items. Examples include Birchbox, which offers a subscription box for beauty supplies, while Bespoke Post specializes in sending out unique and customized products to its subscribers.

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PUBLICATIONS & NEWSLETTERS

According to Mailerlite's email marketing research, the number of monthly subscriptions to newsletters has increased by 40% since February 2020. It's great news for those publications offering paid subscriptions, such as the "Cleaning the Glass" newsletter, which is all about basketball, game statistics, and predictions. Another example is Stratechery, a subscription newsletter that helps its readers understand new technologies and business strategies.

In September 2020, the digital revenue of The New York Times was higher than its print subscribers and helped to make up for the 30% drop in advertising revenue. These traditional publications are successfully expanding their digital footprint, as digital publishers through subscriptions.

MEDIA SUBSCRIPTIONS: VIDEO & MUSIC STREAMING SERVICES

OTT stands for "Over-The-Top." It essentially refers to TV and movies that are delivered via the internet to your TV set or mobile device instead of traditional means like cable. People watch OTT content through services like Netflix, Hulu, HBO Now, Verizon Media, and Altice USA. The revenue produced by OTT services has been steadily increasing as more people cut the cord. In fact, some analysts project that OTT revenue will double from $50 billion in 2019 to $100 billion in 2025.

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TRADITIONAL INDUSTRIES MOVING INTO SUBSCRIPTIONS

BMW, Mercedes-Benz Collection, Book by Cadillac, and Porsche Passport are among many companies that have added a subscription model to their business. Other industries are catching on: Consumers can now get access to cars through subscription services. Once a revolutionary idea, the $40 billion market for automotive subscriptions is expected to grow to $90 billion by 2026.

Also, if this growth is to happen in the next ten years, you can expect every major automaker to begin setting up its own subscription service. Pret A Manger, the popular UK sandwich shop, has also expanded their business with a new subscription service that provides coffee lovers with fresh cups up to five times a day at its stores for just £25 a month.

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HOW TO MOVE TO A SUBSCRIPTION BUSINESS MODEL?

NOVEL STAGE

Here, your company is currently using a variety of techniques to manage the flow of new orders, from customer discovery to subscription management. To move from the traditional business model to the subscription model, your tech stack should include technology that can automate billing and invoicing, as well as customize the customer experience for managing recurring orders.

EXPERIMENTAL STAGE

You're taking full advantage of the comprehensive subscription management system you developed to handle checkout, scheduling, and proration. Now's a good time to start thinking about how you'll use pricing experiments to streamline your checkout experience. This robust tech stack will enable you in discount management, add-on management, and payment terms for your pricing experiments. In addition to calendar billing, it's helpful to start considering multiple currencies, and a variety of payment options (credit card, direct debit, cash, wallets, etc.).

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SCALE STAGE

When starting out, your scaling playbooks need to be easy, intuitive, and automated. At this stage, you have full control over your pricing structures and configurations. You can test them at will and have a set quote-to-cash workflow that allows for seamless deals with Quotes, Custom Pricing, and Advance Invoicing.

As you scale, your tools should keep pace with your business's growth so that you don't fall into inefficiencies in the revenue workflow. Revenue operations help plug any holes in your revenue workflow. It is essential to see the role of each business function relative to the revenue infrastructure.

Once you start scaling up and collecting more subscriptions or payments from customers, keeping track of customer payments can become difficult. If you allow receivables to go unpaid for too long, you run the risk of losing those customers. Your finance teams should have a firm grasp of the accounts receivable process.

In addition, they should be able to work with customer support teams to make sure that subscribers are aware of any service disruptions caused by tax compliance issues or confusion around revenue recognition methods such as whether a subscription should count as an advance payment or as a deferred revenue stream.

LEVERAGE STAGE

At this stage, you've gained a certain degree of proficiency in terms of subscription capabilities. You are seamlessly integrating tools and features across the revenue infrastructure. Sales, marketing, and finance are all aligned to

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sell subscription products and services. Now that you're expanding into new markets and geographies, you can more easily drive the adoption of the subscription business model within your organization. To do so, you need to keep an eye on 360° subscription analytics across sales and marketing, success, and finance.

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WHY DOES MOVING TO A SUBSCRIPTION BUSINESS MODEL INITIALLY DECREASE REVENUE AND INCREASE EXPENSES?

SaaS business models are based on the simple concept of software as a service, which is designed to deliver value over time to customers.

SaaS companies collect payments from their customers on a subscription basis. While this means that revenues are recognized in smaller increments (e.g., monthly or quarterly amounts) over the life of a contract, expenses increase immediately and are typically significant during the company's transformation into a profitable business model (e.g., software development, hosting, etc.).

In the long run, however, expenses decrease once the main transformation is completed, while revenues increase later as the customer base increases and the business model starts to scale.

When an enterprise is considering moving to a model that leverages subscriptions as the primary business model, they need to start by understanding how the new

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subscription-based organization will work.

The existing procurement and vendor management resources, processes, and partners may not fit the subscription model. So, the organization needs to examine the transition that is required within those areas.

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WHY USE A SUBSCRIPTION BUSINESS MODEL?

To convert to a subscription model, businesses need to think like their customers. They need to identify trends in customer habits and adapt their business models to appeal to these habits.

- The “sharing economy” is helping to shift consumer trends toward focusing more on the outcome of a purchase than on the ownership of something. For example, instead of wishing for a car, people will often be more concerned with having access to transportation in the form of a ride-sharing service, such as Uber or Lyft;

- The expenses listed on a company's income statement can be divided into two categories: Recurring costs (sometimes referred to as cost of goods sold, or COGS, salaries, and research and development) and growth costs (which can include marketing and sales). If a company can maintain high revenue margins over its recurring costs while it spends on growth initiatives, its cash flow should improve in the long term;

- Subscriptions provide a huge benefit for subscription businesses because any revenue generated by an existing customer is recurring revenue and not new revenue, as is the case for non-subscription

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businesses. This means that a subscription business starts every year with guaranteed recurring revenue. As a result, planning becomes easier and valuations go up;

- A subscription business relies on repeat customers who, through a combination of great customer service and unique experiences, stay invested in a brand, rather than just buying something once and forgetting the brand. Successful subscription businesses reduce the friction of finding their product or service and build strong relationships with new and returning customers by offering excellent customer service across all platforms;

- With the popularity of digital subscription services like Netflix and Amazon Prime, it may seem odd to think of physical products as subscriptions. But physical products can generate subscriptions when a service is offered alongside them.

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HOW DO YOU TRANSITION TO A SUBSCRIPTION BUSINESS MODEL?

In order to adopt a subscription business model, there are several important steps.

When it comes to developing a strategy, you must first consider how you will create a strategic advantage for yourself in your market; this is step one.

Once you've explored what new value you can create, you then need to scope out what changes need to be made across the firm to deliver high-quality customer experiences and build strong relationships with clients; this is step two. After that, you must scope the capabilities, technologies, resources, and other assets required to make the change.

Finally, you must execute using an agile approach which ensures that the market fit and value for your company are optim.

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THE 5 STEPS OF THE SUBSCRIPTION REVENUE CYCLE

1. ACQUIRE CUSTOMERS

When a subscription company wants to grow, it will first want to attract new subscribers by using the same methods that traditional companies use, such as inbound marketing, paid advertising, and search.

However, since subscription companies tend to take longer to generate enough revenue to cover customer acquisition costs than traditional companies, they need to be particularly careful with how they spend on customer acquisition.

Many software companies offer a "freemium" model, where customers can use a free, sometimes feature-limited version of their product, with the hope of winning over some new users and turning them into paying customers.

The freemium model has become especially popular among software-as-a-service (SaaS) companies, which can use it to acquire new customers. SaaS companies, in particular, lean on this model for acquiring new customers, since SaaS customer acquisition costs have risen nearly 50% in the past five years.

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You can improve customer retention and reduce customer acquisition costs by offering a freemium option. This plan allows customers to try your product before they pay, reducing your customer acquisition expenses. Once they become familiar with your product, they are more likely to consider upgrading to a paid plan in the future.

2. DELIVER CONSISTENT, HIGH-QUALITY SERVICE

Once you've reached the point that your sales and marketing teams have successfully done their job, and you've got a solid base of subscribers, it's time to start delivering an experience that meets your customers' needs.

The biggest mistake that many subscription companies make at this stage is not spending enough time understanding what their customers' needs are.

It makes sense: Executives say that 70% of companies speak with fewer than 10 prospects or customers on a non-sales research basis each month. It doesn't get any easier for large companies as well since this doesn't get any better as they grow.

In order to solve this, you will need to make constant contact with your subscribers. Track your metrics in order to find where subscribers are getting stuck and most likely to churn. Create a detailed buyer persona of each type of subscriber by their budget, the features they value most, how much they are willing to pay, and what it costs you to acquire them as a customer. Then, create a product that meets their needs.

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3. LOOK FOR OPPORTUNITIES TO UPSELL OR CROSS-SELL

To generate more revenue with existing customers, subscription companies should focus on increasing the value of current customers' subscriptions through expansion revenue — subscription growth that doesn't come from acquiring new customers.

In a 2016 Pacific Crest Survey, David Skok and Matrix Partners found that the median cost to acquire a dollar of new-customer ACV is $1.13, while expansion revenue yields ACV at a cost of less than $0.27 on average.

Subscription companies can increase their revenue by encouraging customers to upgrade their plans (upsell) or add additional features or services (cross-sell). Consider offering discounts when customers upgrade their plan or create a tiered pricing structure to give customers more value for the same price.

Tiered pricing structures make it easier for customers to understand what they're paying for and make it easier for you to guide your customers' expansion plans. For example, subscription video hosting service Wistia charges customers according to the number of videos they host on its platform.

You may also wish to offer supplementary products related to your main product. For example, if you are offering software that is used by sales teams, you might offer a sales coaching tool as a cross-sell. If you offer subscriptions, you could consider offering related single purchases or additional services.

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4. WORK TO RETAIN USERS AND REDUCE CHURN

Generally, subscription companies put most of their marketing and sales efforts into attracting new customers. But that's not necessarily the best way to grow your business. By putting more time into retaining existing customers, you can increase your bottom line much faster.

This is backed up by data: Improving customer retention by just 1% for a subscription business results in a 6.71% revenue increase, while a 1% increase in customer acquisition costs results only in 3.32% bottom-line revenue.

It’s not easy to retain users and reduce your churn rate. You need to pay close attention to your subscribers, which can be very complicated. It takes years for subscription companies to build up the systems and systems that keep their churn rate low.

If you want to create a bulletproof retention process and settle on one churn strategy, you’ll have to make some sacrifices along the way. But, in the end, you will find that it was worth it!

5. RINSE AND REPEAT

This is the tipping point. Once more and more happy subscribers stick around, you’ll bring in steady revenue every month without re-acquiring customers every month.

Small improvements in your subscription revenue can accumulate into large profits over time because of compounding.

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Fighting churn feels overwhelming, but simple steps like keeping track of credit card expiration dates, updating security protocols, communicating charging errors with customers, etc., can make the difference between having a high churn rate or a successful subscription business.

In isolation, these tasks might feel small, but added together they have a real impact on reducing churn.

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ESSENTIALS TO RUN A SUCCESSFUL SUBSCRIPTION BUSINESS

PRODUCT-MARKET FIT

Product-market fit is essential for a successful business. It's when a company identifies its target market and serves that target market with a product that meets the market's needs in a way that works for both parties. The company also makes sure its product is able to grow with its customers' requirements over time.

SUBSCRIPTION PRICING STRATEGY

You will only be successful when your customers value your business enough to pay for what you have to offer. Price is an important factor in deciding whether or not a customer perceives the value of your business. The four main methods of pricing are:

Value-based pricing
Value-based pricing is a strategy where you determine the price of your product according to how much value it brings to your customers and how much value they see in it. By basing the price on that, you can charge more for an enhanced customer experience. This will also help you to understand your customers better, through better analytics

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and feedback from them.

When you use value-based pricing, you measure the worth of your product or service in concrete terms. For example, subscription businesses can measure their worth by setting prices based on the number of seats, data consumed, and features included.

Cost-plus pricing
If you're pricing a product or service, the most obvious way to make sure you're charging enough is to add a fair profit margin after considering your expenses and costs. The problem is that this approach does not take into account what the competition charges for similar items, which can result in poor sales.

Competitive pricing
Frequently matching your competitors' prices is called competitive pricing. While this approach can keep your business afloat during a highly competitive period, it is not a long-term approach, however.

Demand-based pricing
Demand-based pricing strategies use the real-time data your company is collecting to adjust prices based on demand. If your product is still in the development or testing phase, you may not have enough data to make these decisions. Also, this approach can lead to lost sales if you don’t take perceived value into account.

A successful subscription business begins with the right pricing strategy.

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EXCEPTIONAL CUSTOMER SERVICE

The need for customer service should be a no-brainer for subscription companies. After all, customer service can help you gain a deeper understanding of your customers' needs and form long-term relationships with them. Customer service allows companies to add a human touch to their branding, collect data about usage patterns, and educate customers on product features.

SUBSCRIPTION REVENUE TECH STACK

To make sure your subscription business doesn't hit a plateau, you need to build a complete revenue tech stack. This includes creating a complete revenue tech stack and optimizing each step in the RevOps workflow.

To do so, you must understand the various inefficiencies that can hinder your company's ability to acquire new customers, convert them into subscribers, retain them, and increase the lifetime value of each customer.

If you don't have the right workflow, you could end up paying recurring costs that your customers aren't paying for. Without an efficient RevOps workflow, you will not only miss out on revenue, but you'll also lose customers in the long run.

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WHAT TO CONSIDER WHEN PLANNING A SUBSCRIPTION-BASED OFFERING?

DECIDE ON YOUR POINT OF DIFFERENCE

There is an increasing trend for subscription-based businesses, so you'll need to find an area where there's a gap in the marketplace and offer something different from what's currently available.

Else, you'll have a hard time competing with companies that have an established customer base and brand. If your product doesn't help your customers solve a unique problem or take some action, it will be hard to convince them that your business is worth patronizing.

CHOOSE THE FREQUENCY

You can arrange your subscription service to fit your business' timetable, and you can offer subscribers more than one type of frequency.

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For example, a monthly delivery would be ideal if you're offering a vitamin supplement subscription, while a bi-monthly schedule would be just fine for those who want to receive shoes on a regular basis.

You can also offer 90-day subscriptions for those who want a regular delivery of surprise boxes. Just make sure the delivery frequency suits you and your customers.

HAVE A RECURRING PAYMENT SYSTEM

One of the key ingredients of a subscription business is having a secure way to process credit card payments, which means not losing out on a sale due to late processing or wrong bank details.

If you are going to keep the customer's card on file and charge it on a pre-selected payment schedule (i.e. monthly or annually), it's best to use a recurring payment solution that allows you to set up their next payment date automatically after receiving their initial payment.

HAVE A PLAN FOR HOW TO FULFILL SUBSCRIPTIONS EFFECTIVELY

Working with an e-commerce fulfillment partner is a good idea if your business is creating and shipping out multiple types of boxes, as the process can be overwhelming without the right WMS to keep track of what's going on.
An e-commerce fulfillment partner, like Shipwire, will help you design a fulfillment solution that helps your business grow

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without sinking you in logistics headaches.

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HOW TO GET YOUR SUBSCRIPTION PRICING RIGHT

1. OFFER MORE THAN ONE SUBSCRIPTION PLAN

Options are good for your business. Offering several subscription plans lets you appeal to a variety of customers — from those on a smaller budget to large enterprise clients. So, how many plans should you offer, and starting at what price?

Your product and customers determine the answer. If you know your full software is worth $200/month, offer it as a “premium” package, and then let customers choose from other features at lower monthly fees.

2. AVOID HIDDEN CHARGES

More than half of shoppers will abandon their carts if they're hit with unexpected costs during the checkout process. To avoid this, make your terms clear for each plan and add a link to your pricing page on the sign-up form.

Not only will this help build trust with your customer base, but it will also save your customer service from being contacted

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repeatedly because of differences in prices.

As your customers know exactly what they'll be charged for their subscription, there'll be fewer chances of them contacting you to ask about an unexpected charge.

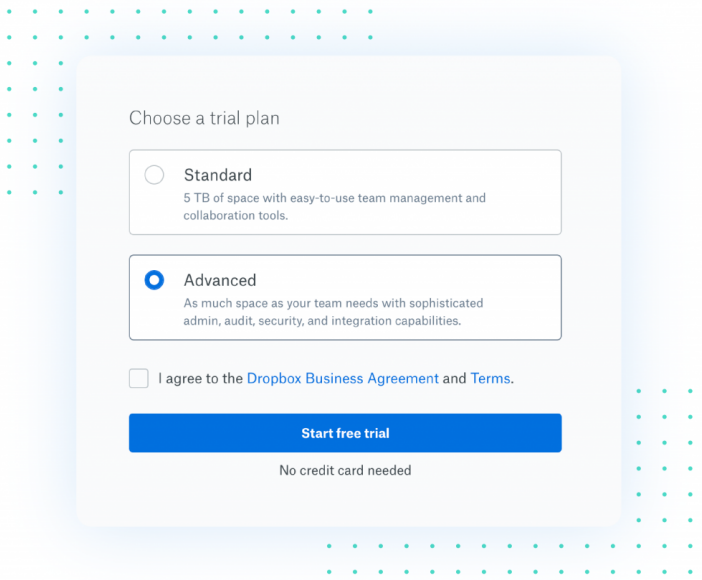
3. OFFER A FREE TRIAL OR A FREEMIUM PRODUCT OPTION

Free trials and freemium products are a great way to get potential customers to try out your service or product — and even convert them into paying customers.

With free trials, you're not giving away something for free: You're giving people enough time (often 2 weeks) to try out the product or service before making a commitment. Dropbox, for example, uses a clever marketing strategy to entice customers to sign up for its paid business subscriptions.

With its free trial of 30 days and the opportunity to try its "Advanced" plan during that time, customers are given a chance to experience the full depth and breadth of Dropbox's features while they can still change their minds — not only that, but they can register for an account in just a few clicks.

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4. MEASURE EVERYTHING

Next, make sure you keep an eye on your customer growth and churn rate. You'll use these metrics to track how many customers you're attracting with subscriptions, and how many are opting out of the service altogether.

With a subscription management platform, you can easily track these metrics. Also, if you're looking for ways to retain more paying customers, consider the payment methods and currencies your customers prefer to use. Choose those options, and you eliminate the reasons they might churn.

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SIX METRICS ALL SUBSCRIPTION BUSINESSES SHOULD TRACK

1. MONTHLY RECURRING REVENUE (MRR)

Monthly Recurring Revenue, or MRR, is the predictable amount of revenue your company generates from subscriptions in a particular month. MRR includes the recurring items in your subscriptions, such as coupons, discounts, recurring add-ons, etc., but excludes one-time charges, like setup fees, non-recurring add-ons, any non-recurring ad hoc charges, and the amount charged towards taxes.

Different components of MRR include New MRR, Upgrade MRR, Expansion MRR, Contraction MRR, Downgrade MRR, Reactivation MRR, and Churn MRR. Monthly Recurring Revenue is the key metric to watch while managing a subscription-based business. It is a financial representation of the health of your business, making it an important metric for investors.

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The two different ways of calculating MRR, the second one, however, requires you to know your ARPU first:

MRR = Sum(Monthly Recurring Charge of all paying customers)

or

MRR = ARPU * Number of paid customers

2. ANNUAL RECURRING REVENUE (ARR)

Annual Recurring Revenue (ARR) is a really important metric that subscription businesses use to estimate how much revenue they can expect from their subscriber base every year.

ARR illustrates two aspects of a SaaS company's income — expansion revenue, which is gained from new sales and upgrades, and churn revenue, which is lost due to downgrades or cancellations. As a forward-looking metric, it does not include elements such as non-recurring add-ons, one-time payments, or setup fees.

How to calculate ARR:

ARR = Sum (Yearly Recurring Charge of all paying customers)

However, if you charge your customers monthly, use this formula:

ARR = (Contract Value) x (12/ Duration of contract in months)

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For annual payments, use this next one:

ARR = (Contract Value) / (Duration of contract in years)

3. AVERAGE REVENUE PER USER (ARPU)

ARPU refers to the money a company brings in for each person who pays for its services. ARPU is calculated by adding up all the monthly subscriptions (MRR) customers pay to the company and then dividing by the number of people who pay. This can tell you how much each customer is contributing to your revenue stream. The calculation of ARPU usually includes metrics like Churn MMR, Downgrade MMR, and Upgrade MRR.

In essence, ARPU is the sum of the monthly or annual revenue generated from each paid subscription.

The ARPU formula is:

ARPU (monthly) = Total MRR / Total Active Subscriptions (Users)

4. CUSTOMER LIFETIME VALUE (CLV)

Customer Lifetime Value (CLV, or CLTV) is a figure representing how much money you would make from a customer before he churns. It is the average revenue generated from customers over the time they remain customers.

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CLV helps subscription-based businesses to figure out how much to spend on user acquisition, and it also helps them to determine how to best retain customers, by helping them understand customer behavior.

To calculate annual historical CLV, you can divide their total revenue by the number of months they have been on the platform and multiply it by 12. Predictive CLV calculation on the other hand makes use of historic CLV and machine to give an estimate of future customer lifetime. Taking into account customer trends and behaviors throughout their lifetime is inherent to this model.

The Customer Lifetime Value formulas are:

CLV = ARPU * Gross Margin * Average duration of customer contracts

or

CLV = ARPU / % Churn

Gross Margin (%) = (Revenue – COGS) / Revenue
COGS = Cost of Goods Sold

5. CUSTOMER ACQUISITION COST (CAC)

The average amount of money you have to spend to get a customer is called your Customer Acquisition Cost. It is calculated by summing the amount of money spent on marketing and sales during a period and dividing that amount by the number of new customers acquired during that period.

For freemium products, remember to include product and

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support costs in your total marketing and sales costs. This is because the freemium product serves as your acquisition channel for new paying customers. The number of new paying customers in any given period is a lower limit on the size of the total sales and marketing costs since freemium customers may eventually convert.

This eventuality should also be taken into account when looking at other product sales since a customer might see your service through an advert, but takes a few months to become a paying subscriber. Consequently, it is essential to view CAC over an extended period of time, such as three months.

The CAC formula is:

CAC = Total Sales & Marketing Cost for a period of time / Number of customers acquired in that period

6. CHURN RATE

Churn rate is a measure of customer retention. It is expressed as the percent of customers who stop paying you. Churn is measured in three ways: Customer churn rate, gross revenue churn rate (Gross MRR churn rate), and net revenue churn rate (Net MRR churn rate).

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9 KEYS TO BUILD SUCCESSFUL SUBSCRIPTION BUSINESS MODELS

1. PRICING IN SUPPORT OF YOUR BUSINESS GOALS

Pricing is critical to the success of your subscription business. Static monthly pricing isn't always the best approach with subscription pricing. If you have a large user base of engaged customers, you should try segmenting your users by offering them different subscription price levels.

Pricing strategies tend to vary by your primary target demographic. You might consider a tiered plan that offers great deals on the most popular services to attract a younger crowd.

As more people plan a family, you might want to offer subscriptions that reward higher signup fees or lock in long-term commitments, as well as overage charges for those who exceed their monthly limits. Choose your pricing strategy based on what will keep your customers happy and coming back for more.

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2. ACQUIRING CUSTOMERS ACROSS ANY CHANNEL

Many B2C companies have an advantage over B2B companies when it comes to this area. At a fundamental level, this is a question of user flow. A subscription should be as easy as possible to sign up for, whether you do so online, via mobile, or by visiting a store associate.

A subscription-based business often needs to create quotes for potential customers. However, many systems do not support the various elements of subscription-based sales strategies. Businesses need to speed up their customer acquisition strategy and fine-tune their commerce solutions. They need to have an Amazon-like user flow and multi-channel support since mobile phone usage is growing rapidly in commercial activities.

3. BILLING WITH ACCURATE, INTUITIVE INVOICES

Bill right, be right. Good billing systems are vital to the success of any subscription-based or service business.

Accounts at these companies can be complicated because they must catalog new customers, deal with accounts that have expired or changed, calculate usage and handle prorated charges. It's crucial that your billing system recognizes these nuances appropriately and provides both customer models & detailed internal reports.

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4. COLLECTING FAST CASH AND EASY SETTLEMENTS

Automation is the key to efficient cash collection. It is vital for subscription-based businesses to maximize collections and minimize write-offs while collecting cash quickly.

To optimize your cash flow, be sure to assess all available payment gateways and international options. By determining your target market, you can identify the best payment methods. If you are unaware of some viable collection options, do not hesitate to reach out!

5. NURTURING AND DEVELOPING DEEPER CUSTOMER RELATIONSHIPS

In the subscription business model, customer service is key. Without strong customer relationships, it is impossible to generate recurring revenue. As a company's customer base grows, it becomes even more important to acquire new subscribers —but to keep them, you need to focus on keeping your existing customers happy.

Your subscription-based business will grow if you give your users easy-to-use tools so that they can manage their subscriptions themselves. Include 24/7 support and take different approaches to the marketing and customer services in order to fend off churn.

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6. ACCOUNTING FOR REVENUE AND CLOSING BOOKS FASTER

Subscriptions have an enormous impact on downstream financials.

Subscriptions have many transactions and change over time: Adding, upgrading/downgrading, downgrading/canceling, etc. As a result of these changes, revenues, cash flow, and billings are affected throughout the business. Even the most sophisticated general ledgers have difficulty handling these processes. And it can be difficult to wrestle with spreadsheets the week before their financials are due!

By using an accounting-close automation solution, you can keep your business in compliance and make the process easier and more efficient.

7. MEASURING TO GET VISIBILITY INTO THE RIGHT CONSUMER METRICS

Subscription businesses are always changing, and — unlike in the days of big clunky version updates —, they're constantly being updated.

Businesses have to use tools like metrics from bookings through revenue recognition, so that they can see how their customers are benefiting. This can give them insight into customer value and the financial health of their subscription business.

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However, many subscription businesses focus too much on traditional financial statements and fail to track metrics that matter for subscription finance success, such as ARR (annual recurring revenue), growth efficiency index, retention rate, and recurring profit margin.

This can lead to some fundamental errors in strategy and direction. You'll need to regularly review these subscription-specific finance KPIs properly through a well-detailed dashboard.

8. ITERATING AND RAPIDLY DEPLOYING NEW PRICING

Many subscription businesses use an easy recurring pricing model at the beginning. But to increase market share, it’s key to continually adjust prices and packages.

This allows you to capture more customers in growing markets. And if your competitors enter the market, you can differentiate your product by lowering your prices.

This may upset some of your initial customers, but, as long as you continue to treat them well, then you will be able to maintain old subscribers and bring in new ones, who will most likely value convenience over price.

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9. SCALING WITH MISSION-CRITICAL INFRASTRUCTURE

You will need enterprise-grade software and infrastructure if you want rapid growth. The 24/7 support and business continuity offered by reliable infrastructure are essential for B2C companies that want to scale rapidly.

All companies need seamless integrations with commerce systems, payment gateways, and other technology systems. Scalable, affordable, and easily implementable back-end solutions are a must.

The key is to avoid expensive and complicated ERP installations and build out a cloud stack of the software that works best for your business.

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THE 4 INNOVATIVE SUBSCRIPTION BUSINESS MODELS

1. PERSONAL STYLING

Since there's little time to get involved with in-store shopping, eCommerce has taken over. Stitch Fix addresses these challenges by combining online shopping efficiency with personal styling.

Customers answer a lifestyle and fashion questionnaire during subscription setup to determine which five items will be sent to them each month. They can then try on clothes at home, keeping only what fits and what they like, and giving feedback to the stylist so that future boxes can cater more closely to their needs.

2. SHAVING GEAR

As one of the first subscription box services to gain popularity, Dollar Shave Club promises to deliver razor blades to its customer's door for only a dollar a month.

The company also offers other cross-sell products, like shaving cream and moisturizer; they also deliver other options, like shower products, deodorant, and shaving accessories. Customers also get a free handle with their razor

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blades.

Through their success in the subscription business, they have been able to introduce more lines and provide more choices to customers.

It is important for subscription-based companies to learn that **content is king**: Through quality, authentic, and endearing adverts, customers will come to love your brand. As well as **pricing products and services according to their value**, you should **encourage customer loyalty by providing an excellent customer experience**.

3. KIDS' TOYS

Indigo, a Canadian book, toy, and home goods retailer, once provided an interesting subscription service. The service could be subscribed to online via email or social media accounts without charge. The company randomly selected a set number of people on the list to receive a box every quarter.

For those on the list, getting a box every three months wasn't guaranteed. By signing up friends, advertising the brand on social media, and participating in other activities on the site, subscribers could increase their chances of receiving a box. During its brief time in operation, the service was able to attract customers by offering them the opportunity to receive unique items without having to pay for them.

4. TRAVEL CLUBS

Want to fly on a private jet, but can’t afford the price tag?

There is a way to do so, through an unconventional business model. Netjets offers subscriptions that allow customers to

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choose how many hours they wish to fly per month and, then, reserve that time as a share of the private fleet maintained by the company.

Both individuals and businesses with frequent travel requirements can subscribe to the service. The savings are enormous compared to purchasing the plane out-right, which makes this an effective way to reduce travel costs.

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OTHER EXAMPLES OF SUBSCRIPTION BUSINESS MODELS

1. CARS

Today, people can rent a car instead of purchasing one, and change what they drive without hassle.

They have access to many cars without any of the responsibility or cost that comes with buying them.

Research shows that the average car spends 90% of its life parked, and in March 2019, journalist Kara Swisher wrote in the New York Times that the future of owning a car is similar to the way we currently think about owning a horse.

In her article, she explained how autonomous vehicles, AI, and smart cities are going to revolutionize ways to control traffic and encourage people's payments for these services.

Driverless cars are still many years away, but it's hotly debated whether they will be safe and available in ten to twenty years.

Car companies like Audi — currently paused but they still offer car subscription services through a third-party —, Nissan, and Porsche are already working towards this direction; they have set up car subscription services that

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handle everything, from insurance to roadside assistance and maintenance, proving the point that car subscription services are more attractive to most people than owning the cars themselves. In a few years, this business model is most likely to take over the car industry.

2. AIRLINES

Subscriptions are a two-tiered marketing approach: they offer cheaper travel to frequent flyers and the promise of less time spent in airports.

There are two types of subscriptions: One which includes flights, and the other which excludes them while offering premium benefits.

With SkyMiles Select, for example, you can get perks like drink vouchers, priority boarding, and guaranteed overhead bin space for $59 per year. In addition, other airlines, like United, JetBlue, and Southwest, provide subscribers with exclusive benefits, such as priority boarding and access to overhead bins.

And while FlyLine focuses on reducing the costs of flights for its subscribers, Surf Air's main objective is to provide private air travel experiences for theirs'.

3. IN-HOME FITNESS

Wellness trends are on the rise, particularly among younger consumers. As technology evolves, the HaaS market is booming through cloud computing and sensors, which are making data from multiple sources more accessible.

Fitness programs, such as Fitbit Premium — a subscription service offering personalized goals, challenges, coaching,

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and guidance that is priced at $79.99 per month —, are in high demand. HaaS subscription management is a growing sector that is projected to reach $7.8 billion by 2025, according to PRNewswire.

However, Fitbit has yet to design fitness trackers with a hardware-combined subscription model in mind. A better option would be to bundle the fitness trackers with services that are exclusive to users and loyal customers. Fitbit might be able to compete with Apple by using such an approach.

4. GAMING

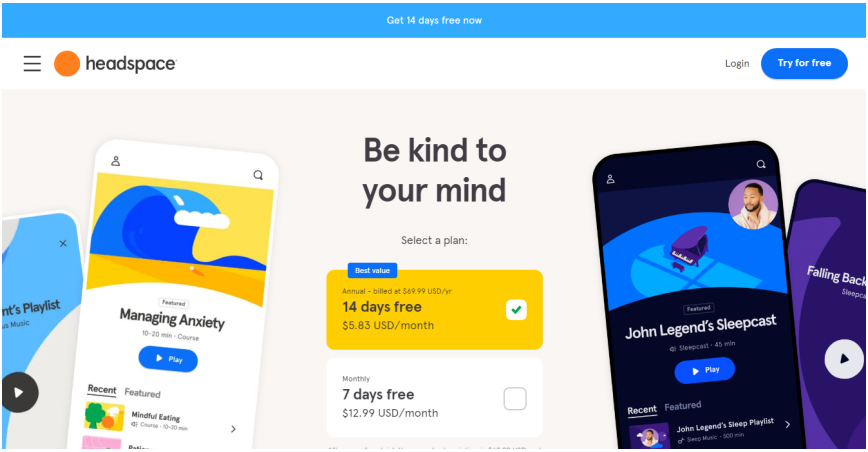
The gaming industry has seen a similar trend to the film and music industries. In a bid to compete with streaming services, gaming companies have moved from selling games directly to consumers to delivering them as subscriptions.

As with Netflix and Amazon Prime, players no longer need to own the game they're playing. They can just pay a monthly fee and have access to a wide range of games. Xbox Game Pass and PlayStation Now are some of the gaming platforms available to gamers through subscriptions.

5. HEALTH & WELLNESS

Subscription models have been used for health and wellness for years, such as the subscription service Headspace. In 2018, Market Research estimated that the global smart healthcare products market was worth $35.55 billion and is projected to reach $69.68 billion by 2026 with an annual growth rate of 8.8%.

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Headspace was one of the first apps to develop a subscription model giving customers access to its meditation programs and to a community of people who are interested in wellness.

It now has more than 60 million subscribers around the world. Both government and private companies are looking for more effective and efficient ways to personalize services while lowering costs.

Other examples of health and fitness subscription businesses include MDVIP, a membership plan that offers preventive care, diagnostic testing, meal plans, fitness plans, and 24/7 physician support for a fixed yearly fee (ranging from $1,650 to $2,200). And Happify, which provides a personalized emotional health and happiness program for enhancing users' quality of life.

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6. EDUCATION & PROFESSIONAL DEVELOPMENT

Changing times force employees to refine and renew their skills in order to keep pace with the ever-changing workplace.

Technological advances, agile practices, and an increasing need for problem-solving skills affect both individuals and organizations alike.

However, some learning platforms, like Coursera, allow users to take classes for free, but charge a fee for certifications.

Another is LinkedIn Learning, the business-oriented network LinkedIn acquired Lynda, an online learning platform popular with many individuals seeking to improve their careers, for $1.5 billion in 2015 and made it into LinkedIn Learning.

As reported, over three-quarters of Fortune 100 companies offer courses on LinkedIn Learning.

7. HOME MAINTENANCE

Saving time is a powerful value proposition for many customers. Home-maintenance companies appeal to customers who have neither the time nor the know-how to do home repairs themselves. More companies are exploring ways to deliver maintenance services via a subscription model.

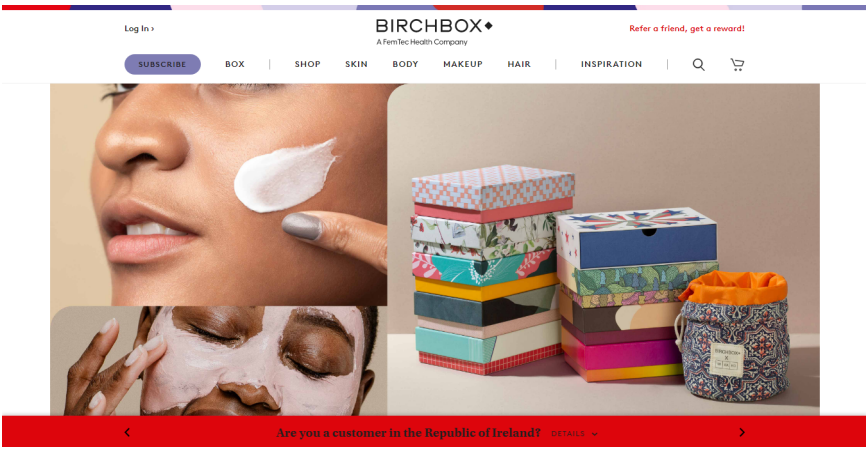
Super offers its subscribers monthly and yearly fees for home maintenance and repairs.

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While Handy offers a range of home maintenance services, like tree removal and furniture assembly, for a variable fee dependent on time spent cleaning.

8. CONSUMABLES

Dollar Shave Club, HelloFresh, BarkBox, Cratejoy, and Birchbox have created highly successful subscription box businesses that are at the top of the different services they offer; while Dollar Shave Club offers its subscribers razor blade and handle at a cheap price, HelloFresh offers theirs' regular meal kits pre-measured and packaged with cooking recipes.



Birchbox delivers monthly boxes of beauty materials while Barkbox delivers packages of dog treats and toys.

9. ENTERTAINMENT

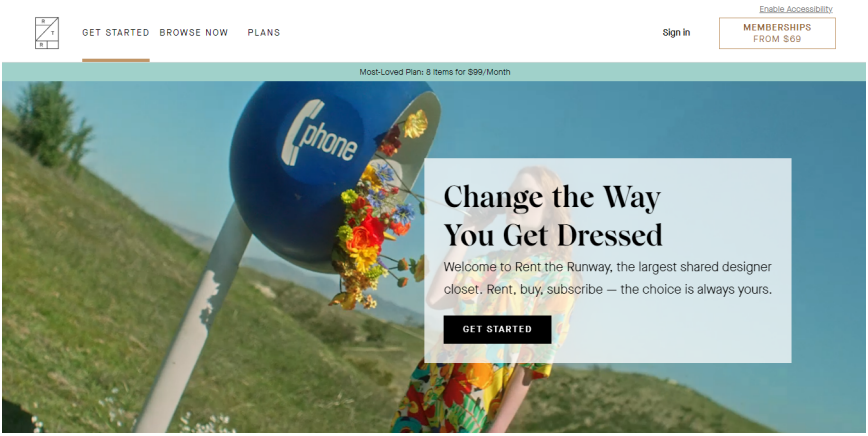
Entertainment includes owning, renting, or streaming movies, TV shows, and other forms of online streaming.

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Netflix, Amazon, and Apple are among the companies that have created competing video streaming services; the market is highly competitive though with HBO, Hulu, Disney, and others in it.

10. FASHION/CLOTHING

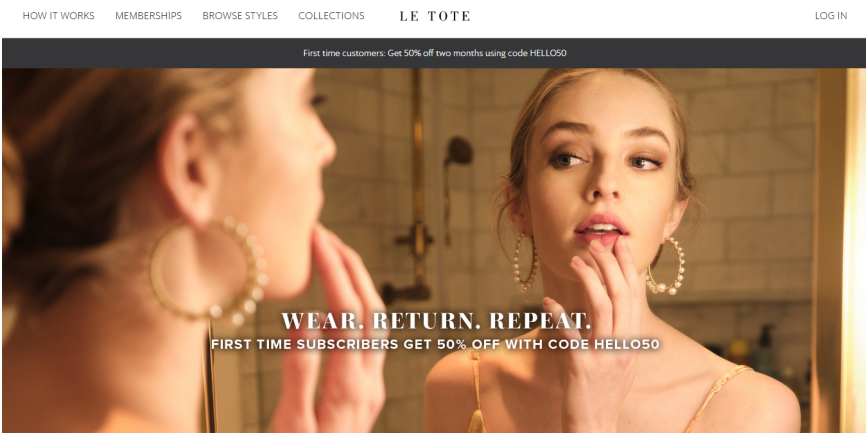
Renttherunway - Rent The Runway, is the first major fashion platform that offers a subscription service for clothing. The service, which has been validated as a viable business model, allows customers to “own” just the clothes they want without having to purchase anything new. Their most-loved plan offers subscribers 8 items for $99 a month.



Another clothing subscription service is Le Tote, a fashion rental service. Their subscribers get to keep the rented clothes for as long as they want although they have an option to purchase the clothes, even at a discount.

Customers can borrow up to 8 items for a monthly fee of $79, allowing them to try out new looks without purchasing them until they are returned. Subscriptions, however, get cheaper when accessories are omitted.

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CONCLUSION

Subscriptions are changing the business landscape. If you're a content creator, SaaS entrepreneur, or a seller of physical goods, by adopting a subscription model, you can:

- Be sure of predictable revenue;
- Invest your revenue towards growth;
- Offer customers more affordable prices;
- Attract more investors;
- Judiciously manage inventory;
- Increase the lifetime value (LTV) of your customers by offering experiences that improve customer retention;
- Reduce customer acquisition costs;
- And build a community of loyal subscribers.

All these are possible through the subscription business model, however, real value needs to be offered to subscribers for a profitable subscription company to emerge successfully.

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